

THIS ISSUE TRAINS · SPOTTING THE REAL BOTTLENECK

Money and markets

Chip and memory stocks led a global selloff in late June 2026: the Philadelphia semiconductor index slid about 8 percent in one week yet remained up close to 90 percent for the year.

Behind the huge run sits a physical question investors keep asking: data centres full of chips consume enormous electricity and shed enormous heat, and both must be paid for, forever. The winners may simply be whoever computes while wasting the least of each.

The SCD takeaway: a price built on expectations can fall hard without anything actually breaking. Before calling a drop a crisis, ask what was priced in the day before.

Sources: BlackRock Investment Institute weekly commentary.

Engineering corner

A chip that computes with light. Scientists built a device from atomically thin materials that generates, steers and reads light based signals on one chip. Electrons in wires meet resistance and bleed energy as heat; photons do not. A processor moving information as light could run faster while producing a fraction of the warmth.

The SCD takeaway: the cost of running a machine can dwarf the cost of building it. Good engineering designs for the operating bill, not the sticker price.

Source: ScienceDaily, June 2, 2026.

Your move

Every system has one constraint that truly sets its limit, and it is often not the obvious one. For AI the scarce thing is increasingly cheap electricity and ways to shed heat, not ideas.

This week, on your own: pick one system you use every day, your phone, your commute, your revision, and write one sentence naming its true bottleneck. Then check where the money in that system goes. It almost always flows toward the constraint.